expenditures. If sustained, China's double-digit annual growth will allow Chinese defense spending to approach U.S. levels after 2025.[103] Moreover, China already dominates Asian military spending; its defense spending is five times larger than Japan's.[104] By 2020, China is forecast to spend more than all of Western Europe, and by 2025, more than all the other states in the Asia-Pacific region combined.[105]

Declines in Western defense spending are a symptom of a larger reality, in which major American allies are slipping in global weight economically, demographically, and militarily. In fact, the decline of Europe and Japan is the principal factor driving the striking trend that by 2025, the BRICS are on course to edge out the G7 in global GDP (measured in PPP), as shown in Figure 2.2. According to McKinsey, Europe and Japan's combined share of global R&D expenditures also declined by 11 percent in the twenty years after 1991. By comparison, China increased its share of global spending from 1 to 9 percent during the same period. In 2016, the U.S. share of global R&D is forecast to be 26.4 percent, while China's is expected to be 20.4 percent. China's R&D spending remains less than the United States in absolute terms, but the gap is closing. At the same time, the fast-growing India is now the sixth-largest R&D spender in the world, forecast to surpass both South Korea (fifth) and Germany (fourth) in total R&D investment by 2018.[106] Beyond economic potential, a quarter-century later, R&D investments are strongly correlated with the quality of a state's military's equipment.[107]

Although it is a mistake to conflate superior military power with trends in either a country's overall economic size or its level of defense spending, one may observe some links among these dimensions in the United States today. As the relative economic capabilities of the United States decline, some foreign policy realists favor limited retrenchment of U.S. foreign policy, concluding that "the price of dominance is too high."[108] Other analysts prefer to fall back on liberal policy prescriptions for prioritizing prosperity, open markets, and interstate cooperation through institutions. Yet the United States is still globally dominant in defense; in capitalism, through its leading multinational corporations, open, innovative economy, and favorable demographics; in soft power, through its strong democratic institutions and Washington's leadership of the Bretton Woods institutions; and in myriad other ways.[109] Moreover, the relative capability advantages of the United States and other advanced industrial countries are greater financially than economically, which means that this summary underestimates the structural effects of U.S. primacy. Most international trade is settled in dollars, the United States has the largest financial markets and clearinghouse banks, and of course, the dollar is the dominant reserve currency.

The United States also has cleverly retooled such instruments to assert its dominance in new disruptive ways, some of which allow the United States to leverage its financial power to compensate for its declining share of the world economy. For example, Washington treats access to the American financial system through the global banking system as a set of proprietary nodes, leaving other countries potentially vulnerable to interruption of such access.[110] The United States also demonstrated its greater importance than the International Monetary Fund (IMF) when the Federal Reserve Bank (and the European Central Bank) were the only institutions with the power to inject funds to manage the shortage of liquidity, bank failures, and the freezing of markets during the global financial crisis of 2008–2009. Could these strengths also start to erode in favor of China and other non-Western regional powers? Can they be countered or offset through other Chinese and BRICS capabilities? Such questions are considered in the next section, as well as in Chapters 3 and 4 of this book.

In short, the relative increase in the global economic weight of the BRICS, but most prominently of China, over the past quarter-century has been remarkable. These shifts do not necessarily translate into relational, much less structural, power. However, they likely increase opportunities for the BRICS, both individually and collectively, to exercise greater autonomy by acting independently in global affairs.[111]

THE GLOBAL FINANCIAL AND MONETARY CAPABILITIES OF THE BRICS

This section turns specifically to the financial capabilities of the five BRICS countries. In general, their domestic and international financial depth and sophistication have risen, but somewhat unevenly. Overall, the BRICS' current financial and monetary capabilities lag their clear economic rise relative to the major advanced industrial economies. With the start of the global financial crisis in 2008, two turning points in the evolution of the BRICS intersected. First, it became increasingly evident that there was a mismatch between the relative ascendance of the BRICS, and especially that of China, as the world's leading trading nation, and their comparatively low international financial profiles. Despite becoming major creditors, the BRICS were not major players in global equity markets, their currencies were not commonly used in trade transactions (let alone as reserves), their firms were not leading multinational investors, and they were not home to major global financial centers. As recently as the mid-2000s, for instance, the BRICs' share of global FDI stock was still a paltry 3.3 percent ($510 billion), while flows were smaller than their economic weight, with combined BRIC outward FDI smaller than Italy's, and